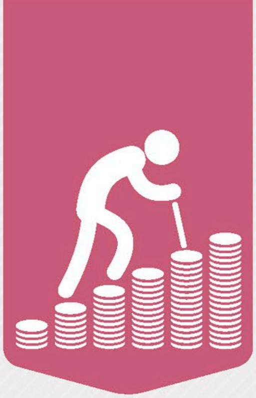

Pensions and retirement

A pension scheme is a type of savings plan to help save money for retirement. Pensions enable workers to invest a proportion of their income regularly during their working life to give them an income when they retire. It is important for workers to think about making pension contributions when they are young, rather than when they are approaching retirement age. In many countries, pensions have certain specific tax benefits in comparison with other forms of savings.

Saving

25

10% of monthly salary

Early investment

Jane, aged 25, wants to retire at 68 with a £15,000-a-year pension. She needs to save £165 a month. *See pp.198–199*

WORKING LIFE

Later investment

Paul, aged 45, wants to retire at 68 with a £15,000-a-year pension. He needs to save £322 a month. *See pp.198–199*

45

15% of monthly salary

Pension plan

Tax contributions for a number of years

State pension

Contributions are taken from taxpayers by the government. People who have contributed enough then receive a state pension at retirement age.

Employee contributes a % of salary monthly

Company contributes an additional % to employee pension

Company pension

Employees and employers make monthly payments into a fund managed by a pension company. They may also receive government tax relief.

Individual makes a monthly contribution

Private pension

DIY pensions allow workers to choose their own investments and pension company. They may also be able to claim government tax relief.

The changing age of retirement

In most countries there is a minimum age an individual must reach before they can access any of their private pensions – in the UK it is currently 55. This is different from the state pension age, when retirees begin to receive money from the government. The UK state pension age is expected to rise from 65 to 68 by the mid 2040s. People tend to retire earlier in mainland Europe – at present this is partly due to the fact that there tend to be fewer jobs for older people. *See pp.202–203*